# Entrepreneurship Theory & Practice (GE4B-01)
# All Modules Summary — 2024-2025 Sem 2

## MODULE 1 — Introduction to Entrepreneurship

### Definition of Entrepreneur

- A person who organizes, manages, and takes risks in a business venture.
- Joseph Schumpeter: Entrepreneur as an innovator who drives "creative destruction."

### Types of Entrepreneurs

- **Innovative:** Introduces new products/methods.
- **Imitative:** Copies successful innovations.
- **Fabian:** Very cautious, accepts change only under pressure.
- **Drone:** Refuses to change even at loss.
- **Social Entrepreneur:** Focuses on social impact over profit.

### Intrapreneurship

- Entrepreneurial behavior within an existing organization.
- Employees act as internal entrepreneurs to drive innovation.

### Key Characteristics of Entrepreneurs

- Risk-taking, innovation, decision-making, leadership, vision, resilience, passion.

### Entrepreneur vs Manager

- Entrepreneur: Owner, risk-bearer, innovator.
- Manager: Employee, risk-avoider, administrator.

## MODULE 2 — Entrepreneurial Motivation & Creativity

### Entrepreneurial Motivation

- Internal drive to start and sustain a business.

- **Push factors:** Unemployment, job dissatisfaction, necessity.
- **Pull factors:** Profit, independence, opportunity, passion.

#### McClelland's Need for Achievement (nAch)

- Three needs: Achievement, Affiliation, Power.
- High nAch individuals prefer moderate risk, take personal responsibility, seek feedback.

#### Creativity in Entrepreneurship

- **Types:** Deliberate/Cognitive, Deliberate/Emotional, Spontaneous/Cognitive, Spontaneous/Emotional.
- **Wallas Process:** Preparation → Incubation → Illumination → Verification.
- **Lateral thinking (de Bono):** Solving problems through indirect, creative approaches.

#### Types of Innovation

- Product, Process, Market, Organizational, Disruptive innovation.
- Disruptive innovation: Replaces existing markets with simpler/cheaper alternatives.

## MODULE 3 — Business Ideas & Opportunity Recognition

#### Business Idea

- A concept for a product or service that can generate revenue.
- Sources: Personal experience, market gaps, technology, trends, customer feedback.

#### Opportunity Recognition

- Identifying viable business opportunities from ideas.
- Criteria: Attractive, timely, durable, anchored in a product/service that creates value.

#### Market Research

- Systematic collection of data about customers and competitors.
- Types: Primary (surveys, interviews) and Secondary (reports, articles).
- **Market Sensing:** Continuous monitoring of market trends and customer needs.
- **Market Testing:** Piloting the product before full-scale launch (test marketing, A/B testing).

#### SWOT Analysis

- Strengths, Weaknesses, Opportunities, Threats — used to evaluate a business idea.

## MODULE 4 — Feasibility Report & Business Plan

### Feasibility Report

- A document that assesses whether a business idea is viable.
- **Components:** Market, Technical, Financial, Legal, Organizational feasibility.

### Legal Formalities

- Business registration (Sole Proprietorship, Partnership, LLP, Pvt. Ltd.).
- Licenses: Trade license, GST, FSSAI, environmental clearance.
- IP protection: Trademark, patent, copyright.
- Labour law compliance: PF, ESI, minimum wage.

### Business Plan

- Detailed document covering: Executive summary, company description, market analysis, product/service, marketing plan, operations plan, financial projections.

## MODULE 5 & 6 — Financing & Financial Planning

### Sources of Financing

- **Internal:** Personal savings, retained earnings.
- **External:** Bank loans, Angel investors, Venture capital, Crowdfunding, Microfinance.
- **Government schemes:** MUDRA, Startup India, MSME loans.

### Methods of Raising Financial Resources

- Bootstrapping, Angel funding, VC funding, IPO, Trade credit, Factoring.

### Financial Planning

- Process of setting financial goals and determining how to achieve them.
- Includes: Cash flow management, budgeting, break-even analysis, profit & loss projection.
- Importance: Ensures solvency, guides resource allocation, prepares for contingencies.

### Break-Even Analysis

- Point where total revenue = total costs. No profit, no loss.
- Break-Even Point = Fixed Costs / (Selling Price − Variable Cost per unit).

## MODULE 7 — Role of Entrepreneurs in Economic Development

- Employment generation, capital formation, GDP growth, export promotion.
- Regional development, technology diffusion, social welfare, tax revenue.
- Multiplier effect: One business stimulates multiple upstream/downstream businesses.
- India-specific: MSME sector contributes ~30% to GDP and employs millions.

### Government Support for Entrepreneurs

- Startup India, Make in India, MUDRA, Atal Innovation Mission, Digital India.
- Incubators and accelerators (IITs, IIMs, SIDBI).

## MODULE 8 — Mentorship, Networks & Key Functions

### Role of a Mentor

- Provides guidance, shares experience, expands networks, gives emotional support.
- Helps entrepreneurs avoid common pitfalls and refine their strategy.

### Key Functions of an Entrepreneur

- Innovation, risk-taking, decision-making, resource mobilization, organizing, leadership, market research.

### Types of Business

- **By ownership:** Sole Proprietorship, Partnership, LLP, Company.
- **By activity:** Manufacturing, Trading, Service.

### Networking

- Building professional relationships that provide resources, knowledge, and opportunities.
- Types: Personal network, Professional network, Online network (LinkedIn).